

crowding of professional investors into the one-to-two-year forecasting horizon makes any consistent superiority of results in this time slot improbable. One solution, we've seen, is to buy smaller companies most institutions are not interested in. Another (and compatible) response is to look beyond the next quarter and the next year and search, instead, for very-long-term trends.

What I am trying to avoid is what I call the "forecasting horizon trap." From the point of view of a sound long-term investor, most security analysts' reports are mere journalism, not analysis. But because analysts spend so much time pumping corporate managers for information—about sales trends, price changes, and costs—their short-term earnings forecasts are generally reliable. A typical corporate president working in April 1997 may have finally understood what happened in 1996 and the first quarter of 1997. The second quarter of 1997 being in progress, he can probably make a well-informed estimate about its results.

But the second half of the year? "Well, that will be affected by trends in the economy that aren't certain, but assuming that business gets better than it was in the first half . . ." Estimates for 1998 are based on even more tenuous assumptions. For more than eighteen months out, 1999 and into the next millennium, analysts tend merely to extend past trend lines. "Beefsteak Mines has had sales growth averaging 11 percent a year for ten years, so let's assume sales in 1999 will be up 11 percent from our 1998 estimate." As John Maynard Keynes noted back in 1936, "Our knowledge of the factors which will govern the yield of an investment some years hence is usually very slight and often negligible."

The forecasting horizon trap lures you into spending all your time on what's more knowable—the same immediate horizon that occupies everyone else. If you fall into the trap, competing with all the other investors concentrating on these short-term events, it is impossible to outperform the market, after paying transaction costs. You have to escape to a longer-term perspective.

Remember, too, what I said in Chapter 2 about small-company